LIAS

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Mentoring the Steel-frame of India

10 YEARS OF DEMONETISATION

42.55

lakh crore of cash with the public in October 2026

That is more than double the 17.97 lakh crore before the 2016 note ban. Digital payments boomed, yet cash came back.

UPSC CSE 2027 · GS-III Economy

THE STORY

What happened

8 Nov 2016

₹500 and ₹1,000 notes, about 86% of cash by value, stop being legal tender overnight.

Feb 2017

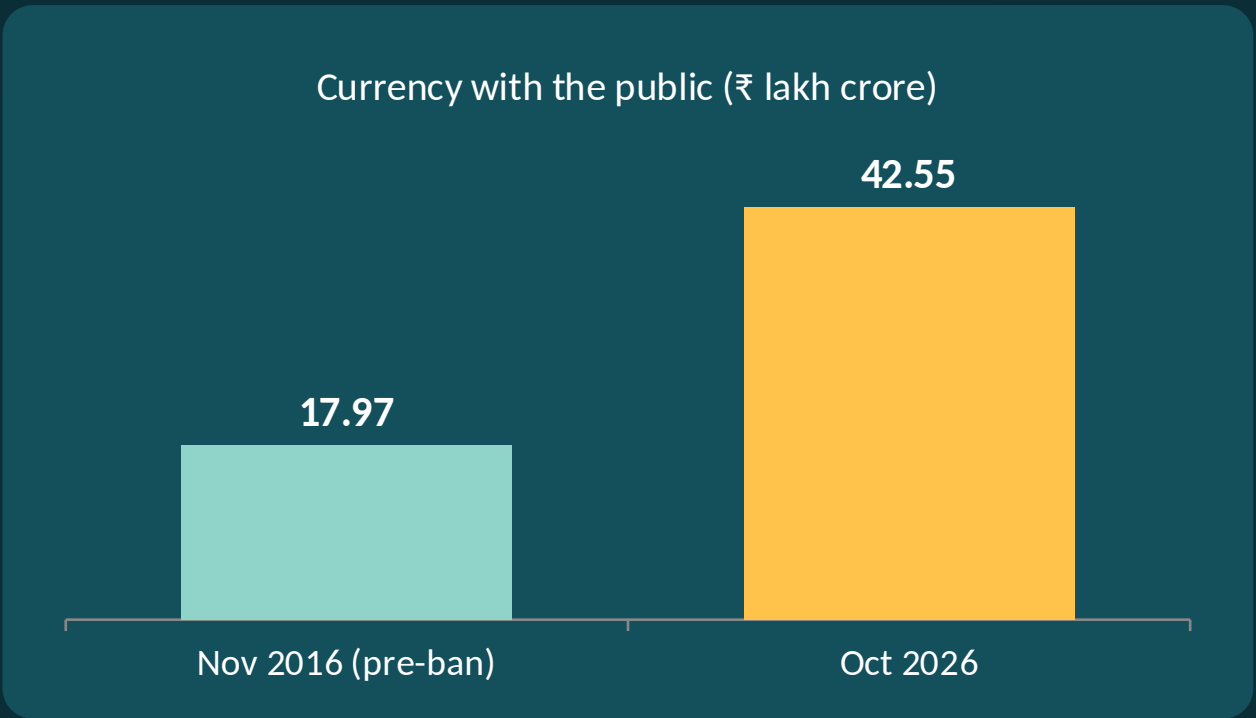
Parliament passes the Specified Bank Notes (Cessation of Liabilities) Act, ending liability on old notes.

Jan 2023

A 5-judge Supreme Court bench upholds the move 4:1 in Vivek Narayan Sharma v. Union of India.

BY THE NUMBERS

Cash is back, and bigger



99.3%

of the value of banned notes returned to banks (RBI)

~12%

currency-to-GDP in FY26, back near the 2015-16 level

THE LEGAL MACHINERY

How a note ban works



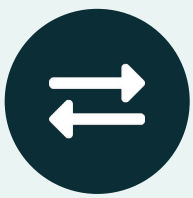
1. RBI Central Board recommends

Section 26(2) of the RBI Act, 1934 starts with the RBI.



2. Centre notifies in the Gazette

The government declares a series of notes as no longer legal tender.



3. Exchange and deposit window

People deposit or swap old notes at banks within a set period.



4. Parliament closes the books

A law ends the liability of RBI and the government on old notes.

THE GAP

Where it fell short



Black money did not vanish

Almost all banned notes came back, so little illicit cash was extinguished.



Cash demand rebounded

Informality, precaution and privacy keep Indians holding cash.



Counterfeits shifted

Overall fakes fell, but fakes of the new ₹500 note have risen.



Informal sector hit

Daily-wage workers and MSMEs faced job losses and a cash crunch.

MUST-KNOW FACTS

Prelims Capsule

1

Sec 26(2), RBI Act 1934

Lets the Centre, on RBI's recommendation, cancel any series of notes

2

SBN (Cessation of Liabilities) Act, 2017

Ended liability on old ₹500/₹1,000 notes; penalises holding them

3

Vivek Narayan Sharma (2023)

Constitution Bench upheld the 2016 decision 4:1; Justice Nagarathna dissented

4

1978 demonetisation

High-denomination notes (₹1,000, ₹5,000, ₹10,000) cancelled by an Act of Parliament

5

UPI (NPCI)

Launched in 2016; now India's dominant real-time payments rail

GS-III · INDIAN ECONOMY

Mains angle

GAINS

- Push to digital payments and UPI
- Wider income-tax base
- Formalisation of savings

GAPS

- Black-money goal unmet
- Informal jobs and MSMEs hurt
- Cash use back near 2016 level

Way forward

Build trust-based formalisation through simpler GST, cheap credit for MSMEs, cyber-safe digital rails and data-driven policy evaluation, not one-time shocks.

UPSC 2026 PATTERN

PRELIMS PRACTICE

Consider the following statements:

1. The 2016 demonetisation was notified under Section 26(2) of the RBI Act, 1934.
2. The Supreme Court upheld it by a unanimous verdict in 2023.
3. As per RBI, over 99% of the value of the banned notes returned to banks.
4. India had earlier demonetised high-denomination notes in 1978 through an Act of Parliament.

How many of the above statements are correct?

(a) Only one

(b) Only two

(c) Only three

(d) All four

Solution on the next slide →

SOLUTION

Answer: (c) Only three

Statement 1: Section 26(2) of the RBI Act lets the Centre cancel a note series on RBI's advice.

Statement 2: The verdict was 4:1; Justice B.V. Nagarathna dissented.

Statement 3: RBI's 2017-18 report: about ₹15.31 of ₹15.41 lakh crore came back (~99.3%).

Statement 4: The 1978 note ban was done by an ordinance replaced by an Act of Parliament.

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